particular product commences.[318] Accordingly, paragraph (a) of Rule 817 provides that an SBS transaction shall be subject to the requirements of section 3C(h) of the SEA upon the later of (1) a determination by the Commission that the SBS is required to be cleared as set forth in section 3C(a) or any later compliance date that the Commission may establish as a term or condition of such determination or following a stay and review of such determination pursuant to section 3C(c) of the SEA and Rule 3Ca-1 thereunder; and (2) 30 days after the available-to-trade determination submission or certification for that SBS is, respectively, deemed approved under Rule 806 or deemed certified under Rule 807. Paragraph (b) of Rule 817 also provides that a counterparty may voluntarily comply with the trade execution requirement sooner than required by paragraph (a).

The Commission received several comment letters about the sufficiency of the time period allotted for compliance with a MAT determination.[319] One commenter encourages the Commission to provide an extended duration of time until any MAT determination becomes effective so that asset managers and other market participants have adequate time to make the necessary operational and market structure arrangements to accommodate the trade execution requirement.[320] Another commenter urges the Commission to ensure that all SBSEFs and market participants have adequate time to prepare for the operational and market conditions that come along with a MAT determination.[321]

---

318 Rule 3Ca-1 under the SEA provides that the Commission may determine, following a submission from a clearing agency, that an SBS (or a group, category, type, or class of SBS) must be cleared. This determination could follow a stay of the clearing requirement for additional review. 17 CFR 240.3Ca-1.

319 *See* Bloomberg Letter, *supra* note 18, at 16; ICI Letter, *supra* note 18, at 8–9; ISDA-SIFMA Letter, *supra* note 18, at 5, SIFMA AMG Letter, *supra* note 18, at 7; WMBAA Letter, *supra* note 18, at 5.

320 *See* SIFMA AMG Letter, *supra* note 18, at 7.

321 *See* WMBAA Letter, *supra* note 18, at 5.

Some commenters recommend that a MAT determination not be effective for at least 90 days.[322] One commenter emphasizes that, after a MAT determination, market participants should be provided with sufficient time to comply with any new trade execution requirement, and that commenter believes that market participants would benefit from 90 days to comply.[323] Another commenter, citing its experience with the MAT requirement, states that it has observed that 30 days provides insufficient time to adjust trading protocols and ensure a smooth transition to trading on SEFs.[324] In this regard, the commenter asks the Commission to extend the time between when a MAT determination is made and when it becomes effective from the proposed 30 days to 90 days. The commenter also asserts that this is consistent with the recommendations of the CFTC MRAC report that examined the appropriateness, efficacy, and sustainability of the MAT process.

Another commenter also cites the CFTC MRAC's report in recommending that the Commission provide 90 days after a MAT determination is final before it becomes effective. This commenter emphasizes that market participants will need an adequate compliance period after a mandatory clearing determination is made *and* after the SBS is first made available to trade on an SBSEF to prepare. The commenter expresses concern that, under the proposed approach, if an SBS is made available to trade fewer than 30 days before a mandatory clearing determination, then the SBS would be subject to mandatory trading on an SBEF with a less than 30-day compliance period. This commenter urges the Commission to clarify that the scope of eligible SBS for MAT determination is limited to only those that have already been determined

---

322 *See* Bloomberg Letter, *supra* note 18, at 16; ICI Letter, *supra* note 18, at 8; ISDA-SIFMA Letter, *supra* note 18, at 5.

323 *See* Bloomberg Letter, *supra* note 18, at 16.

324 *See* ISDA-SIFMA Letter, *supra* note 18, at 5.

to be subject to mandatory clearing. This commenter also asserts that, even when an SBS is already subject to mandatory clearing, the proposed 30-day compliance period would still be inadequate given the complex operational and technological steps that must be taken to trade a new SBS on an SBSEF. The commenter states that market participants such as regulated funds will need time to onboard to an SBSEF if necessary, and to further update their systems, processes, and procedures to transact via an SBSEF's order book or RFQ system.[325]

The Commission has considered commenters' requests for an extended compliance period for the mandatory trading requirement once a MAT determination has been made with respect to an SBS. The presence of ready and willing buyers and sellers and the number and types of market participants, among other things, are relevant factors in a MAT determination under Rule 816(b).[326] As noted above, the extent to which a MAT determination is likely to be disruptive to the market for a given SBS is best addressed in the context of making the MAT determination, which, as discussed above, allows for the Commission oversight of the determination through its review and approval or disapproval of a filing under Rule 806, or through staying and seeking public comment on a self-certification under Rule 807.[327] Further, with respect to the suggestion that the Commission clarify that the scope of eligible SBS for MAT determination is limited to only those that have already been determined to be subject to mandatory clearing, a MAT determination filing would not have any relevance until there are any SBSs subject to the clearing requirement.

It is not necessary to revise the 30-day period for compliance with a MAT determination, because the readiness of the market to comply with a MAT determination for a particular SBS

---

325 *See* ICI Letter, *supra* note 18, at 3, 8.

326 *See supra* section V.F.3.

327 *See supra* section V.F.2.

would be relevant to the MAT determination itself, including the analysis of the six factors enumerated in Rule 816(b), and because an analysis of that readiness would best be undertaken based on the facts and circumstances attending a specific MAT determination.

For the reasons discussed above, the Commission is adopting Rule 817 as proposed.

VI. IMPLEMENTATION OF CORE PRINCIPLES

Section 3D(d) of the SEA[328] sets forth 14 Core Principles with which SBSEFs must comply. These provisions, with one exception, correspond to the 15 Core Principles for SEFs set forth in section 5h(f) of the CEA.[329]

Core Principle Title	**CEA #**	**SEA #**
Compliance with Core Principles	1	1
Compliance with Rules	2	2
(Security-Based) Swaps Not Readily Susceptible to Manipulation	3	3
Monitoring of Trading and Trade Processing	4	4
Ability to Obtain Information	5	5
Position Limits or Accountability	6	n/a
Financial Integrity of Transactions	7	6
Emergency Authority	8	7
Timely Publication of Trading Information	9	8
Recordkeeping and Reporting	10	9
Antitrust Considerations	11	10
Conflicts of Interest	12	11
Financial Resources	13	12
System Safeguards	14	13
Designation of Chief Compliance Officer	15	14

It continues to be appropriate to closely harmonize with the CFTC rules that implement the SEF Core Principles, although there are some instances where close harmonization is not practicable. Where there are substantive differences between an existing CFTC rule and the SEC

---

328 15 U.S.C. 78c-4(d).

329 *Compare* 7 U.S.C. 7b-3(f) (enumerating 15 Core Principles for SEFs), *with* 15 U.S.C. 78c-4(d) (enumerating 14 Core Principles for SBSEFs). CEA Core Principle 6 for SEFs (Position Limits or Accountability) has no analog in the SEA, so the numbering of the subsequent Core Principles between the two statutes differs by one.

rule being adopted, the discussion below addresses those differences. The discussion below will also address where there is not, or at least there is not intended to be, a difference between the SEC rule and the analogous existing CFTC rule.

Part 37 of the CFTC's rules includes an appendix B, setting forth "Guidance on, and Acceptable Practices in, Compliance with Core Principles." The introduction to appendix B provides that the guidance for the Core Principle is illustrative only and "is not intended to be used as a mandatory checklist."[330] Where the CFTC has included guidance and/or accepted practices pertaining to a Core Principle for SEFs, the discussion below addresses how (if at all) the Commission has incorporated the substance of these statements into Regulation SE.

A. Rule 818—Core Principle 1—Compliance with Core Principles

Core Principle 1[331] requires an SBSEF, to be registered and maintain registration as an SBSEF, and to comply with the Core Principles and any requirement that the Commission may impose by rule or regulation. Core Principle 1 also provides that an SBSEF shall have reasonable discretion in establishing the manner in which it complies with the Core Principles.[332] Proposed Rule 818, like § 37.100 of the CFTC's rules, repeats the relevant statutory text of the Core Principle.

The Commission received no comments on Proposed Rule 818 and is adopting Rule 818 as proposed for the reasons stated in the Proposing Release.

B. Rule 819—Core Principle 2—Compliance with Rules

Core Principle 2 requires an SBSEF to establish and enforce compliance with any rule that is established by the SBSEF, including the terms and conditions of the SBS that it trades or

---

330 17 CFR appendix-B-to-part-37 1.

331 Section 3D(d)(1) of the SEA, 15 U.S.C. 78c-4(d)(1).

332 CEA Core Principle 1 is substantively identical. *See* 7 U.S.C. 7b-3(f)(1).

processes, and any limitation on access to the SBSEF.[333] It further requires the SBSEF to establish and enforce trading, trade processing, and participation rules that will deter abuses, and to have the capacity to detect, investigate, and enforce those rules, including the means to provide market participants with impartial access to the market and to capture information that may be used in establishing whether rule violations have occurred. Finally, Core Principle 2 requires an SBSEF to establish rules governing the operation of the facility, including rules specifying trading procedures to be used in entering and executing orders traded or posted on the facility, including block trades. Core Principle 2 for SEFs[334] is substantively identical, except that it includes an additional paragraph requiring a SEF to provide in its rules that, when a swap dealer or major swap participant enters into or facilitates a swap that is subject to the mandatory clearing requirement, the swap dealer or major swap participant shall be responsible for compliance with the trade execution requirement.[335]

As described in the Proposing Release, the Commission modeled Rules 819 (a) through (g) on subpart C of part 37 of the CFTC's rules,[336] and Rules 819 (h) through (k) on other parts of the CFTC's rules.[337]

1. Rule 819(a) – General

Paragraph (a) of Proposed Rule 819, like § 37.200 of the CFTC's rules,[338] would repeat the statutory text of Core Principle 2.[339] The Commission did not receive any comments on

---

333 Section 3D(d)(2) of the SEA, 15 U.S.C. 78c-4(d)(2).

334 7 U.S.C. 7b-3(f)(2).

335 *See* 7 U.S.C. 7b-3(f)(2)(D).

336 *See* Proposing Release, *supra* note 1, 87 FR at 28901–05.

337 *See id.* at 28905–09.

338 17 CFR 37.200; *see also* Proposing Release, *supra* note 1, 87 FR at 28901.

339 *See* Proposing Release, *supra* note 1, 87 FR at 28902.

Proposed Rule 819(a). It is appropriate to repeat the statutory text of Core Principle 2 in Rule 819(a) and is adopting Rule 819(a) as proposed, except that it is deleting the words "including block trades," in light of its decision not to adopt a definition of "block trade."[340]

2. Rule 819(b) – Operation of Security-Based Swap Execution Facility and Compliance with Rules

Paragraph (b) of Proposed Rule 819 is closely modeled on § 37.201 of the CFTC's rules,[341] and would require an SBSEF to specify trading procedures (including for block trades, if offered) and to establish and impartially enforce compliance with the rules of the SBSEF.[342] The Commission did not receive any comments on Proposed Rule 819(b). It is appropriate for an SBSEF to specify trading procedures and to establish and impartially enforce compliance with its rules, and the Commission is adopting Rule 819(b) as proposed, except that it is deleting the words "including block trades, if offered," in light of its decision not to adopt a definition of "block trade,"[343] which will have no effect on the requirement as compared to the proposed rule.

3. Rule 819(c) – Access Requirements

Paragraph (c) of Proposed Rule 819 is closely modeled on § 37.202 of the CFTC's rules,[344] and would require an SBSEF, consistent with section 3D(d)(2)(B)(i) of the SEA,[345] to provide any ECP and any independent software vendor with impartial access to its market(s) and

---

340 *See supra* section V.E.1(c).

341 17 CFR 37.201; s*ee also* Proposing Release, *supra* note 1, 87 FR at 28901.

342 *See* Proposing Release, *supra* note 1, 87 FR at 28902.

343 *See supra* section V.E.1(c).

344 17 CFR 37.202; *see also* Proposing Release, *supra* note 1, 87 FR at 28901.

345 15 U.S.C. 78c-4(d)(2)(B)(i) ("a security-based swap execution facility shall … establish and enforce trading, trade processing, and participation rules that will deter abuses and have the capacity to detect, investigate, and enforcement those rules, including means … to provide market participants with impartial access to the market").

market services, including any indicative quote screens or any similar pricing data displays. An SBSEF will also be required to establish nondiscriminatory fee structures for ECPs and independent software vendors based on the level of access to or services provided by the SBSEF. Rule 819 further requires an SBSEF to establish and impartially enforce rules governing any decision to allow, deny, suspend, or permanently bar an ECP's access to the SBSEF, including when a decision is made as part of a disciplinary or emergency action taken by the SBSEF.

Several commenters express general support for the adoption of impartial access standards for SBSEFs.[346] One commenter specifically supports the Commission's close harmonization with CFTC rules.[347]

One commenter expresses support for Proposed Rule 819(c), but states that the Commission's proposal does not provide market participants with sufficient clarity regarding how Proposed Rule 819(c) will be interpreted and applied in practice, and the commenter encourages the Commission to provide in the final rule that access to SBSEFs should be based on "objective, pre-established" criteria, and that any ECP should be able to demonstrate financial soundness by showing that it is a clearing member or that it has clearing arrangements in place with a clearing member.[348]

This commenter states that the CFTC has provided market participants with extensive guidance regarding impartial access and encourages the Commission to provide similar clarity when finalizing the SBSEF rules, including guidance with respect to membership criteria, trading protocols and functionality, and fee arrangements. Specifically, this commenter urges the

---

346 *See* Citadel Letter, *supra* note 18, at 6–7; SIFMA AMG Letter, *supra* note 18, at 4; MFA Letter, *supra* note 18, at 10.

347 *See* MFA Letter, *supra* note 18, at 10.

348 *See* Citadel Letter, *supra* note 18, at 6–7.

Commission to provide in the final rule that an SBSEF may not limit membership to (i) self-clearing members; (ii) registered security-based swap dealers; (iii) banks or liquidity providers with a minimum amount of Tier 1 capital; (iv) liquidity providers that have been "enabled" by, or have bilateral documentation with, a minimum number of other liquidity providers; or (v) liquidity providers with a minimum amount of transaction volume.[349]

This commenter also states that SBSEFs should not be permitted to apply trading protocols in a manner that results in impermissible discrimination among market participants. Specifically, the commenter states that SBSEFs should not allow participants to selectively restrict their trading with other SBSEF participants through "enablement mechanisms"; that market participants should be permitted to act as both liquidity providers and liquidity takers on an SBSEF; that all SBSEF participants should be permitted to both send and receive RFQs (instead of only designated liquidity providers being eligible to receive RFQs); and that SBSEFs should not be permitted to require participants to have bilateral documentation in place to trade cleared security-based swaps, as this could provide a pretext for some participants to restrict trading with other participants. This commenter further states that SBSEFs should not be permitted to use fee arrangements to effect otherwise impermissible discrimination with respect to access.[350]

Another commenter also urges the Commission to incorporate the CFTC's impartial access requirement guidance with respect to SBSEFs, which would assist market participants in interpreting how the impartial access rules should work. Coordination of impartial access "not only affects an entity operating both an SEF and SBSEF but also their clients, many of whom use

---

349 *See* Citadel Letter, *supra* note 18, at 6–7.

350 *See id.*

the same individual traders to trade both instrument types.[351] One commenter specifically encourages the Commission to address the potential use of restrictive requirements to obtain access to SBSEFs and to make clear that an SBSEF's reasonable discretion in establishing access criteria must be impartial, transparent, and applied in a fair and nondiscriminatory manner.[352]

One commenter states that the trading documentation requirement of Rule 15Fi-5 may at times conflict with the impartial access requirement of Proposed Rule 819(c) because it is unlikely that all SBSEF members trading cleared swaps will have trading relationship documentation with all other members trading cleared SBS.[353] This commenter encourages the Commission to adopt the CFTC guidance regarding enablement mechanisms and states that such mechanisms were historically used to eliminate credit risk, but that no such risk exists if an SBSEF intended to be cleared is void *ab initio* if rejected for clearing.

The Commission agrees with commenters that impartial access to an SBSEF encompasses both impartial access to membership in an SBSEF and the ability to fully interact on the SBSEF's order book or RFQ system, and that an SBSEF's rules must incorporate impartial criteria for this access. The Commission expects that most, if not all, entities that will seek SBSEF registration with the SEC are or will also be registered as SEFs with the CFTC and that ensuring consistency of access to SBSEFs and SEFs will provide market participants with greater certainty about permissible practices regarding access to these platforms.[354] Efforts to undermine the principle of impartial access may take myriad forms over time. The text of Rule 819(c) is consistent with the text of § 37.202 of the CFTC's regulations and emphasizes the

---

351 *See* MFA Letter, *supra* note 18, at 10.

352 *See* SIFMA AMG Letter, *supra* note 18, at 4.

353 *See* Bloomberg Letter, *supra* note 18, at 3–4.

354 *See* Proposing Release, *supra* note 1, 87 FR at 28876.